

APEX CONSULTING

PREPARED FOR CERMEDES GmbH

CERMEDES

Strategic Turnaround Plan 2026

From market decline to a premium, growth-oriented power tools brand

A Multi-Disciplinary Team for a Multi-Dimensional Problem



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RESEARCH

Market diligence, competitive intelligence and case data validation.



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CONSULTANT

Strategy lead — pitch narrative, CEO engagement and recommendation design.



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ANALYST

Financial modelling, budget planning and risk quantification.



Sravani Anappindi

OPERATIONS

Operational analysis, SKU economics and implementation planning.

MANAGEMENT INSIGHT

A specialized, multi-disciplinary approach is required to diagnose and solve operational stagnation.

BUSINESS IMPLICATION

The team provides necessary strategy, market, pricing, and operations expertise for execution.

Six Sections, One Turnaround Storyline

01

Executive Summary

Where CERMEDES stands today and the growth ambition ahead

02

Situation Analysis

Market context, competitive position, and root-cause diagnosis

03

Strategic Challenges

Pricing, channel, and innovation gaps limiting growth

04

Recommendations & Implementation

Six initiatives and a 24-month execution roadmap

05

Risks & Financial Impact

Budget, revenue bridge, and mitigation plan

06

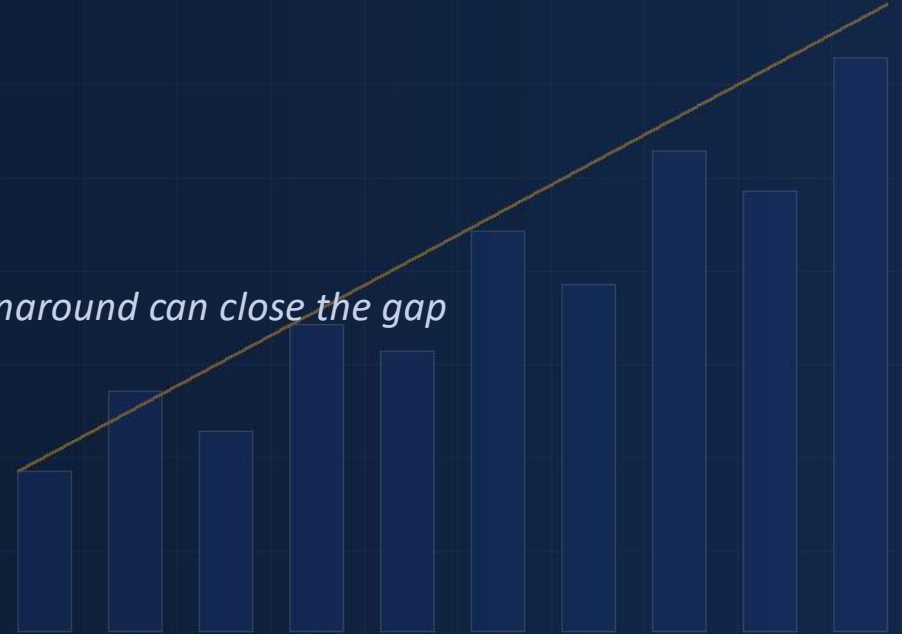
Conclusion

Strategic priorities and the ask for approval

●
SECTION 1

Executive Summary

CERMEDES has premium products that aren't fully monetized — a targeted turnaround can close the gap



CERMEDES: Strong Product, Weak Go-To-Market



CURRENT STATE

€30.7M

FY2025 Revenue

4.1 / 5

Product Quality Rating

10

Distribution Partners

55%

Of Sales From One Partner



CORE ISSUES

- Underpriced portfolio — flagship SKU sells at a loss
- 55% revenue concentration in a single distributor
- Zero e-commerce presence — absent from 52% of demand
- No cordless line or formal R&D capability



FUTURE TARGETS

€37–38M

Base-Case Revenue Target: Pricing + Omni-channel low end.

€46.7M

Stretch Revenue Target

~9 months

Investment Payback

<20%

Top-Customer Concentration

MANAGEMENT INSIGHT

CERMEDES has premium products that aren't fully monetized.

BUSINESS IMPLICATION

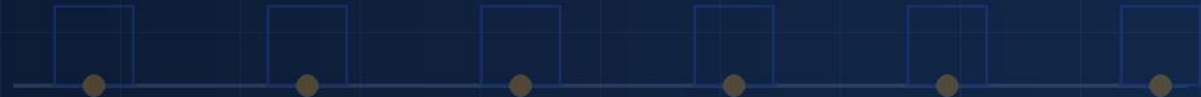
Achievable growth requires immediate pricing, channel, and product strategy shifts.



SECTION 2

Situation Analysis

A quality product trapped in a shrinking, over-concentrated go-to-market model



CERMEDES at a Glance: Strong Product, Narrow Reach

€30.7M

REVENUE (FY2025)

Flat-to-declining for 3 years

4.1 / 5

QUALITY RATING

Independently rated by consumers

100%

DOMESTIC CHANNELS

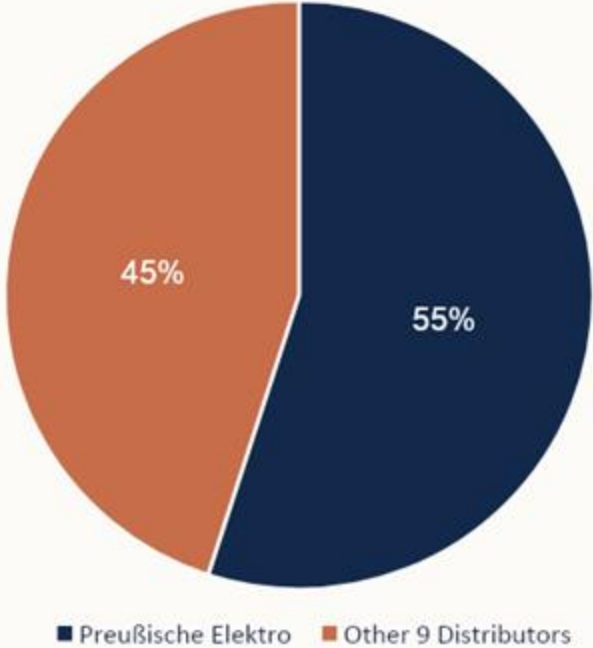
No export, D2C, or online presence

13

SKUs — ALL CORDED

No cordless / Li-ion range

CHANNEL MIX — FY2025 REVENUE



MANAGEMENT INSIGHT

The company possesses strong product quality, but all sales flow through highly concentrated, limited partners.

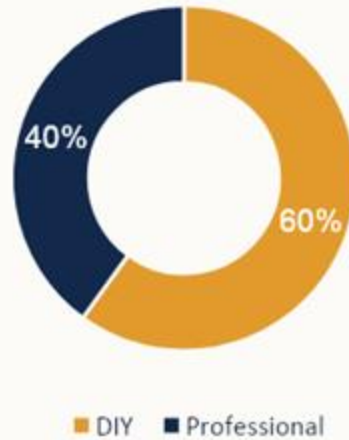
BUSINESS IMPLICATION

The absence of D2C, online, and export channels creates extreme vulnerability.

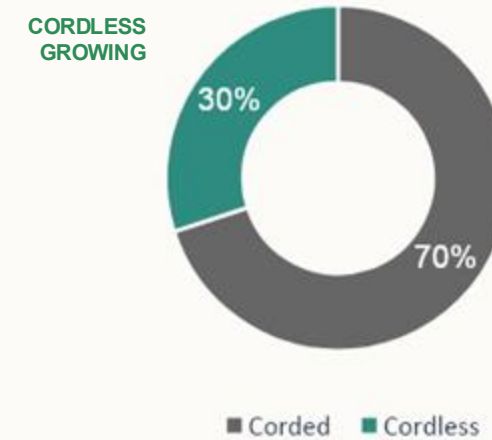
The market is shifting to cordless and professional-grade — CERMEDES sits on the shrinking side.

€667M total German power tools market · contracting ~5–9% per year in CERMEDES' core segments

MARKET SEGMENTS



TECHNOLOGY TREND



MANAGEMENT INSIGHT

The industry is shifting rapidly toward cordless and professional tools.

BUSINESS IMPLICATION

CERMEDES is currently positioned in shrinking segments (corded & DIY) and must pivot.

Strong product quality exists, but the go-to-market model is losing to external trends.



STRENGTHS

- High product quality — 4.1 / 5 customer rating
- "Made in Germany" engineering reputation
- Owned production facility with expansion capacity
- Reliable hero products — 1000W drill, drill hammers



WEAKNESSES

- Under-priced products relative to quality delivered
- 55% of revenue concentrated in one distributor
- Zero e-commerce or direct-to-consumer presence
- No cordless / Li-ion range or formal R&D function



OPPORTUNITIES

- E-commerce and D2C channel expansion
- Cordless / Li-ion product launch
- Professional segment entry (40% of market, fast growing)
- Neighboring export markets — AT / CH / NL



THREATS

- Intense competition — Bosch, AEG, Makita, Metabo
- Core market declining ~5–9% per year
- DIY price erosion over the past decade
- Low-cost private-label and import competition

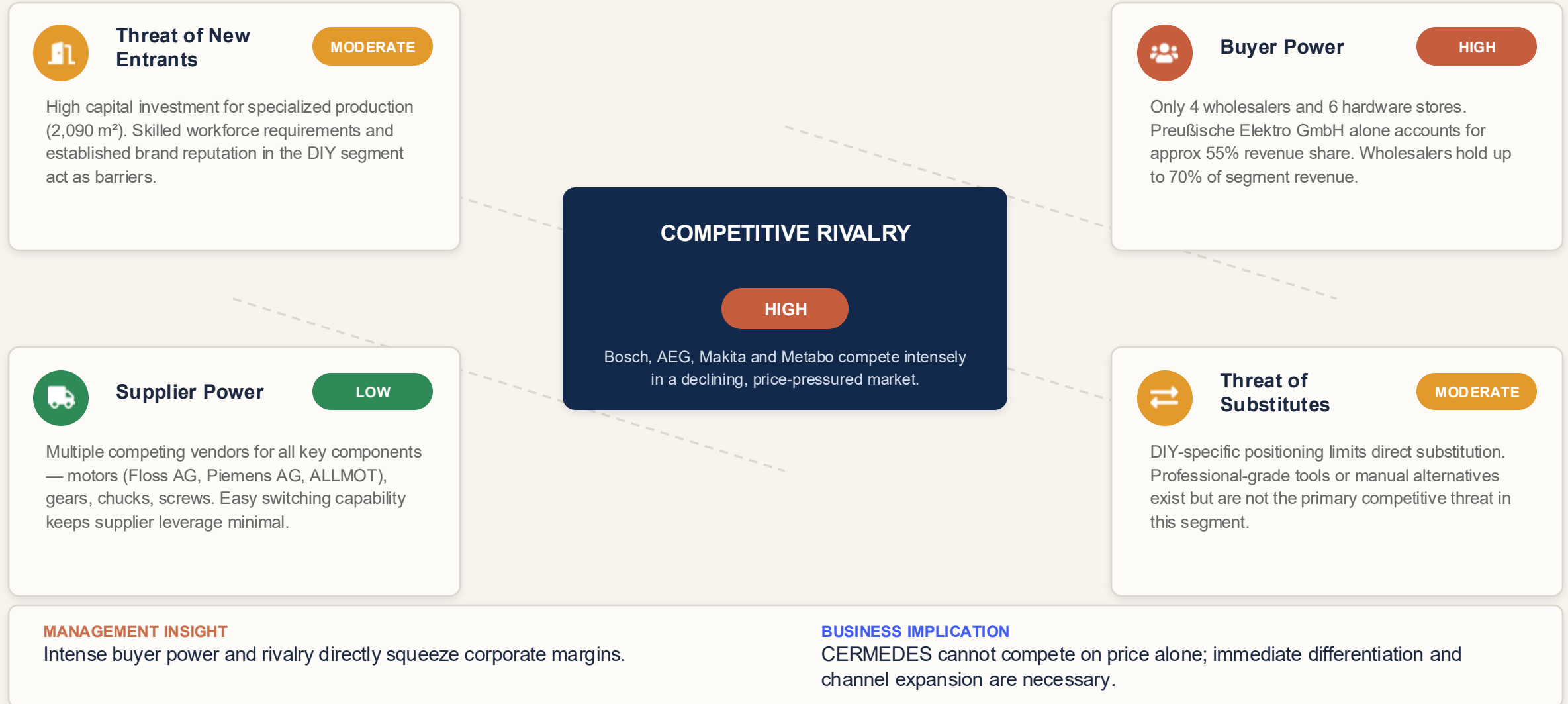
MANAGEMENT INSIGHT

Strong product quality exists but the current go-to-market model is weak against external trends.

BUSINESS IMPLICATION

Leverage engineering strengths to build pricing power and capitalize on channel growth.

Buyer power and rivalry are squeezing margins that CERMEDES cannot win back on price alone.





SECTION 3

Strategic Diagnosis

Three root causes limit growth: pricing, channel reach, and product innovation



Strong Products Are Not Translating Into Strong Profits



Loss-making flagship SKU

DM500W is priced at €42 against a fully-loaded cost of €43. Every unit sold generates a loss. This signals a systematic failure in cost-to-price discipline.

€42 price vs €43 cost



Underpriced portfolio

Across the range, premium-quality SKUs are priced at commodity levels. The gap between perceived value and shelf price is leaving margin on the table.

Value gap uncaptured



Margin compressed by structure

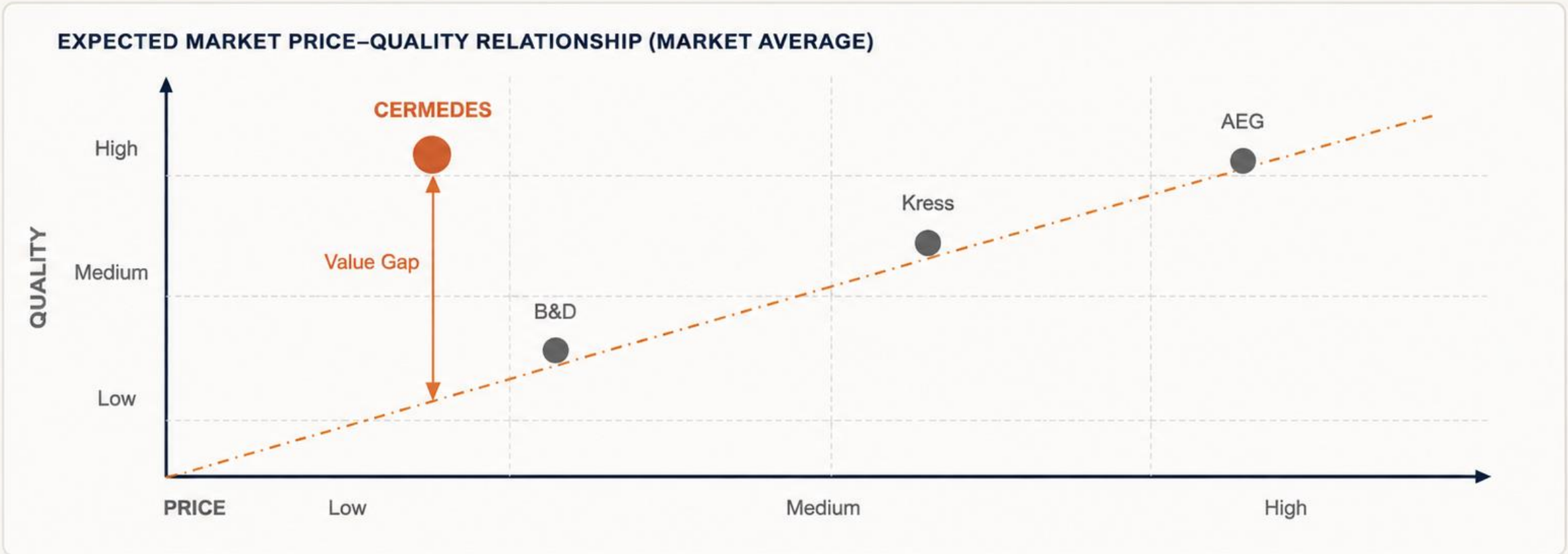
Wholesaler take rates combined with high fixed production costs eliminate most gross margin. The business model needs repricing, not just cost cuts.

Structural margin pressure

MANAGEMENT INSIGHT CERMEDES products deliver higher value than their price, creating an unsustainable 'value gap.' *must be corrected to protect margins.*

- *Customers benefit more than the company; pricing*

CERMEDES delivers more quality per euro than any peer — and captures the least value for it.



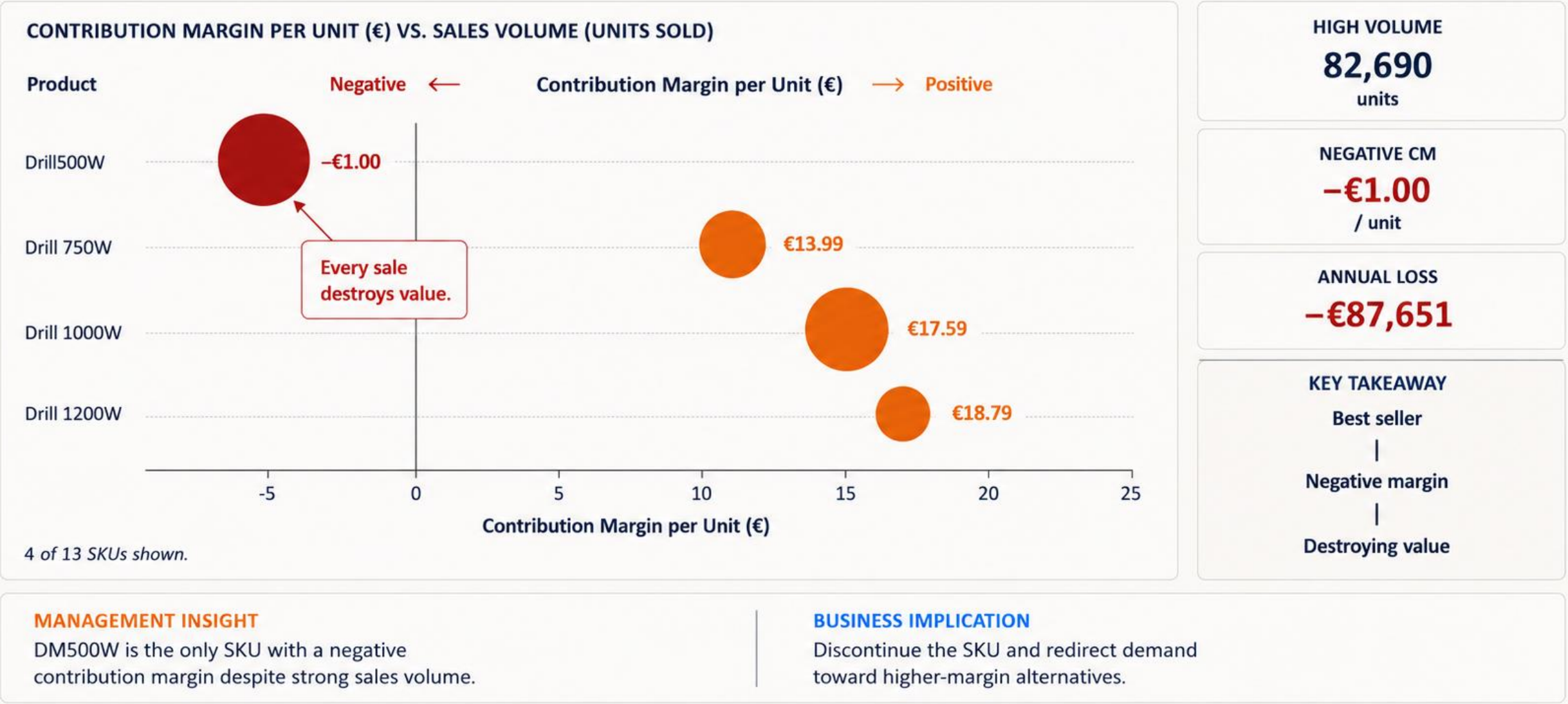
MANAGEMENT INSIGHT

The visual “value gap” clearly shows customers get more quality for the price than the market dictates.

BUSINESS IMPLICATION

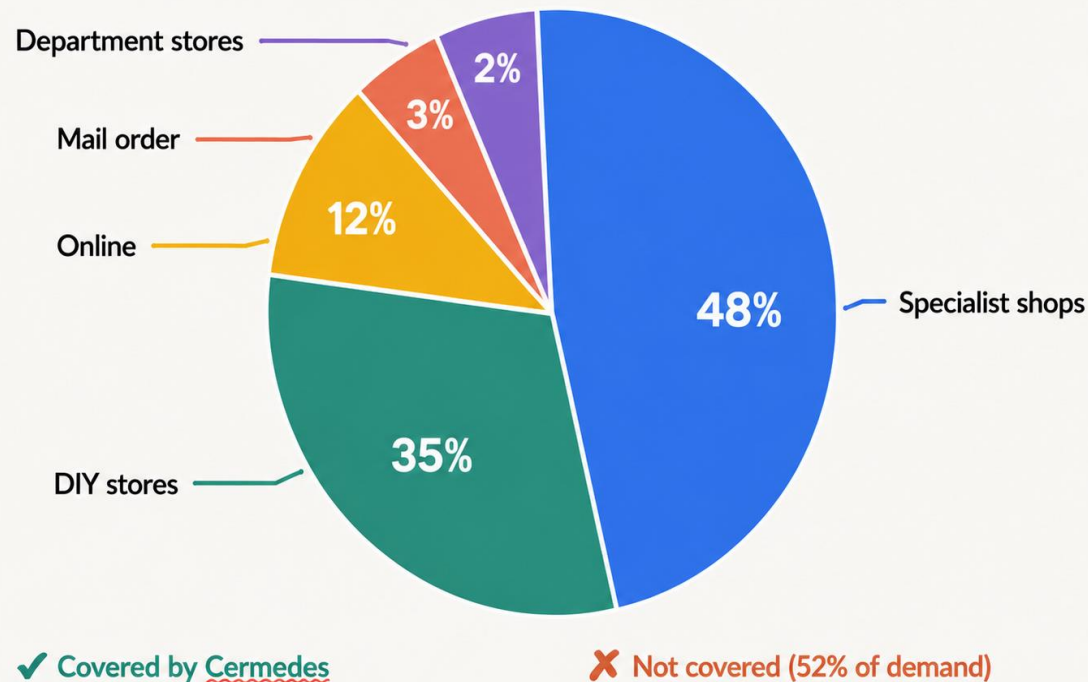
The brand must be repositioned rightward to align price with intrinsic value.

DM500W Is a High-Volume SKU That Destroys Portfolio Profitability



Limited Channels, Extreme Customer Concentration

Where tools are bought



Revenue concentration risk

≈ 55%

of Cermedes revenue from Preußische alone

- ⚠ Single buyer holds outsized pricing power
- ⚠ Any contract renegotiation severely impacts margins
- ⚠ No fallback if relationship deteriorates

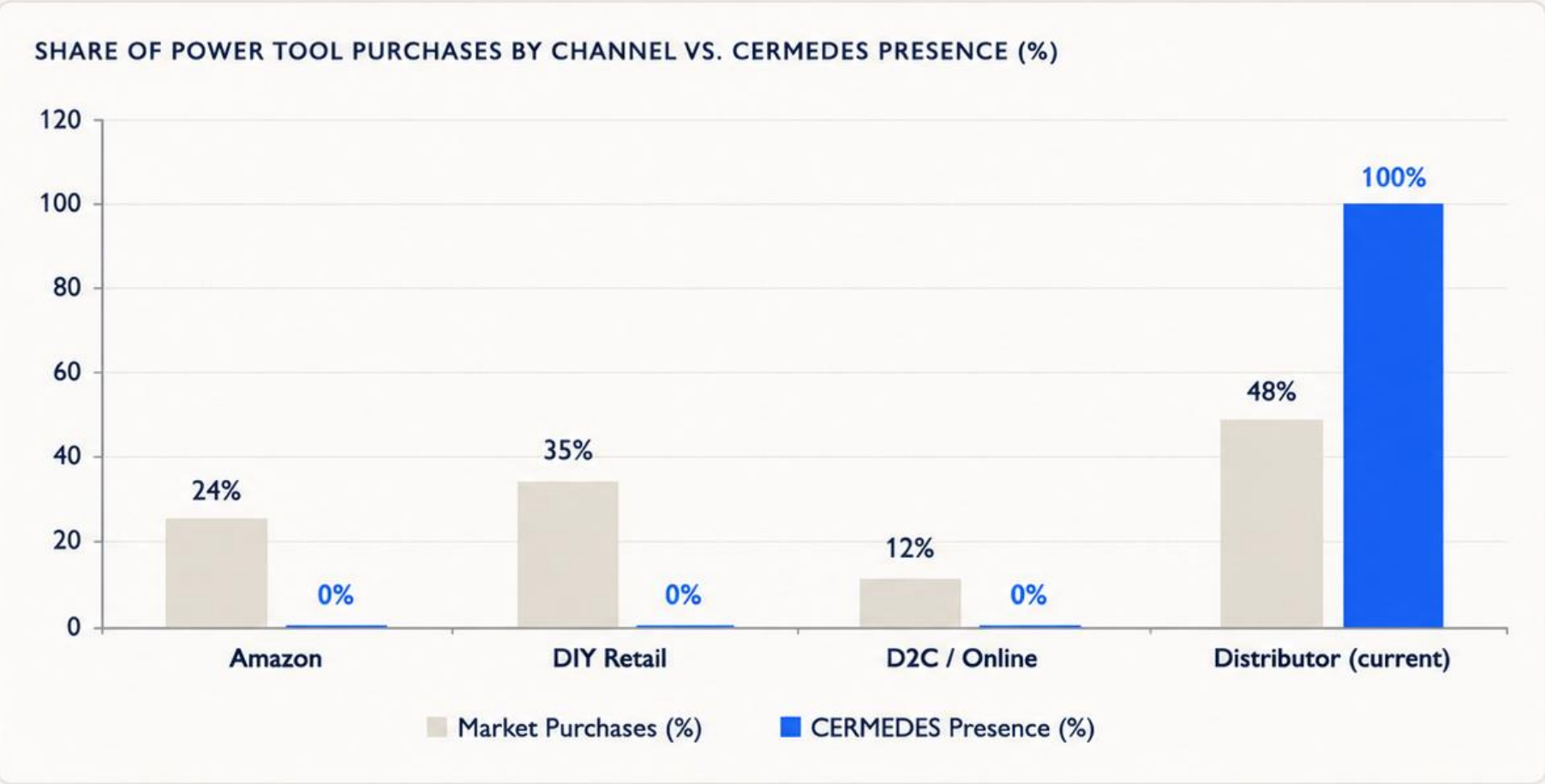
MANAGEMENT INSIGHT Reliance on one primary distributor is highly risky and artificially caps growth. • Without an omni-channel presence, CERMEDES is completely locked out of large consumer segments.

Digital Channels Offer the Fastest, Highest-Margin Path to Growth

Channel	Reach	Margin	Cost to Launch	Speed to Market
Amazon (FBA)	High	Medium	Low	Fast
D2C Website	Medium	High	Medium	Medium
DIY Retail (OBI, Hornbach)	High	Low	High	Slow
Export (AT/CH/NL)	Medium	Medium	High	Slow

MANAGEMENT INSIGHT Digital channels (Amazon and own site) provide the quickest ROI and access to unmet demand. • Immediate capital and focus should be deployed to digital channels before heavy retail expansion.

CERMEDES Is Invisible Where Modern Consumers Shop



KEY TAKEAWAY

48% of power tool purchases happen outside the distributor channel

|

CERMEDES has zero presence in these high-growth channels

|

The brand is invisible where modern consumers actually shop

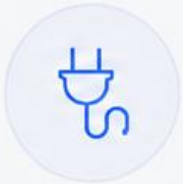
MANAGEMENT INSIGHT The brand is virtually invisible where modern consumers actually shop.

- Capturing this white space is the most direct path to top-line revenue growth.

Total Dependency on Aging Coded Technology



OBJECTIVE Capture market share in the rapidly growing battery-powered segment.



100%

Of the CERMEDES
product line is corded



55%

Of revenue depends on
one legacy product category



The Innovation Gap



CERMEDES has zero presence in cordless —
the fastest-growing market segment



Cordless-only positioning increasingly signals an
outdated brand to professional buyers



Over-reliance on legacy technology risks inevitable
long-term obsolescence



A cordless line is the single largest untapped
growth opportunity available

MANAGEMENT INSIGHT

**The company is missing out entirely on the fastest-growing
market segment.**

- *Over-reliance on legacy corded
technology will lead to inevitable obsolescence.*



SECTION 4

Recommendations

Six initiatives across pricing, channels, and innovation to drive the turnaround



Growth Must Come From New Products and New Markets

RECOMMENDED STRATEGIC FOCUS (24-MONTH PLAN)

Market Penetration

Existing Products x Existing Market

Near-saturated; low incremental growth available domestically

Product Development ★

New Products x Existing Market

Priority: Develop a cordless platform to capture the fastest-growing segment and reduce dependence on the mature corded portfolio.

Market Development ★

Existing Products x New Markets

Priority: Expand into Austria, Switzerland and the Netherlands to diversify revenue beyond the dominant domestic distributor.

Diversification

New Products x New Markets

Excluded from current roadmap: Requires simultaneous entry into new markets and new product categories, making it the highest-risk and most capital-intensive growth option. Recommended only after export expansion and the cordless platform are established.

MANAGEMENT INSIGHT: Domestic penetration alone cannot achieve the required growth.

Sustainable value creation depends on executing export expansion and cordless product development in parallel.

Realign Pricing & Portfolio



OBJECTIVE Adjust pricing upward to capture value and eliminate margin-diluting products.



Key Actions

- Increase prices ~15–20% on high-demand SKUs
- Discontinue loss-making products, specifically the DM500W
- Rework price list based on internal cost analysis in Q3 Y1
- Roll out new prices to all channels by Month 6 (**Phase Now**)



REVENUE IMPACT

+EUR3.0M

- Gross margin +200 basis points
- Immediate profitability improvement on existing volume



Marketing & Supply Chain

- Support rollout with 'value proposition' messaging and sales training
- Execute inventory revaluation for dropped SKUs



KPIs: Average selling price, Gross margin %

Enhance Brand & Product Value



OBJECTIVE Rebrand packaging and implement a long-term warranty to justify premium pricing.



Key Actions

- Rebrand packaging with premium German-engineering visuals
- Launch a 5-Year Warranty on all products
- Hire a design agency in Q3 Y1 to create graphics
- Announce warranty via PR and distributor channels **by Month 7 (start of Phase 1)**



REVENUE IMPACT

Integrated

- Directly justifies higher prices to end-users
- Projected +3% volume increase from improved buyer confidence



Marketing & Supply Chain

- Launch 'German Quality Guaranteed 5 Years' campaign
- Optimize SEO for 'professional German tools'
- Update all product labels
- Establish warranty service process via 3PL



KPIs: Brand awareness, Warranty claim rate (target <3%), NPS

Build Multi-Channel Sales



OBJECTIVE Launch a digital omni-channel presence to capture the unserved 52% of the market.



Key Actions

- Set up an official CERMEDES Amazon store using FBA
- Develop a secure, SEO-optimized D2C e-commerce site
- Launch retail pilots in 2-3 DIY chains (OBI, Hornbach)
- Go live with Amazon and website **by Month 7**



REVENUE IMPACT

+EUR4-6M/yr

- +3-4pp gross margin by bypassing distributor fees
- Direct access to first-party consumer data



Marketing & Supply Chain

- Deploy SEO for DIY keywords and Google Ads
- Run Amazon Sponsored Product ads
- Partner with a 3PL for e-commerce fulfillment
- Manage separate D2C inventory allocation



KPIs: Online sales %, # Amazon orders, # new retail accounts

Enter Neighboring Markets (AT/CH/NL)



OBJECTIVE Expand geographic reach by exporting pro-category tools to culturally aligned markets.



Key Actions

- Partner with local distributors in Austria, Switzerland, Netherlands
- Localize packaging and manuals (German / Dutch)
- Finalize distribution agreements by **Month 13 (start of Phase 2)**
- Ship initial inventory and start joint marketing **by Month 16**



REVENUE IMPACT

+€2-4M by Month 24

- Mitigates domestic market reliance
- Leverages premium German heritage for high-end pricing abroad



Marketing & Supply Chain

- Run co-branded promotions with local distributors
- Attend key trade fairs (e.g. BATIBOUW)
- Use EU-based 3PL for cross-border delivery
- Ensure regional compliance (CE marking)



KPIs: Export sales %, # markets entered, regional market share

Develop Cordless Tool Line



OBJECTIVE Capture market share in the rapidly growing battery-powered segment.



Key Actions

- Hire a specialized battery / electronics R&D engineer **by Month 13**
- Establish a technology partnership with a battery OEM
- Conduct prototype testing **by Month 19**
- Launch first cordless prototypes **by Month 24**



REVENUE IMPACT

+€5-8M
(impact realized beyond this
24-month roadmap)

- Secures long-term relevance in pro & high-end DIY markets
- +3-5% long-term margin increase via high-end products



Marketing & Supply Chain

- 'Cermedes Cordless: German Power, Anywhere' campaign
- Showcase prototypes at 2027 International Hardware Fair
- Dual-source batteries and electronics for resilience
- Evaluate contract manufacturing vs. in-house assembly



KPIs: # cordless models launched, R&D timeline adherence, cordless revenue

Broaden Product Portfolio



OBJECTIVE Maximize revenue from existing customers via high-margin accessories and adjacent products.



Key Actions

- Allocate EUR150K Phase 2 R&D budget to accessories & batteries
- Identify 2-3 new SKUs **by Month 16**
- Explore OEM / white-label production to fill capacity
- Launch first new products **by Month 24**



REVENUE IMPACT

+€2-4M
(impact realized beyond this
24-month roadmap)

- +1-2pp margin increase via repeat accessory buys
- Leverages existing distribution channels efficiently



Marketing & Supply Chain

- Cross-sell via tool + accessory bundle promotions
- Identify new suppliers for raw accessories
- Hold incremental inventory for pilot production
- Evaluate contract manufacturing vs. in-house assembly



KPIs: % revenue from new SKUs, # new products on market

Six Initiatives, One Coordinated Turnaround

#	Initiative	Driver	Revenue Impact	Owner
1A	Realign Pricing & Portfolio	Pricing	+EUR3.0M	Sales Lead
1B	Enhance Brand & Product Value	Pricing	Integrated	Marketing Lead
2A	Build Multi-Channel Sales	Channels	+EUR4-6M/yr	IT / Digital Lead
2B	Enter Neighboring Markets	Channels	+€2-4M (by M24)	Export Lead
3A	Develop Cordless Tool Line	Innovation	+€5-8M (beyond 24-mo horizon)	CTO
3B	Broaden Product Portfolio	Innovation	+€2-4M (beyond 24-mo horizon)	Product Lead

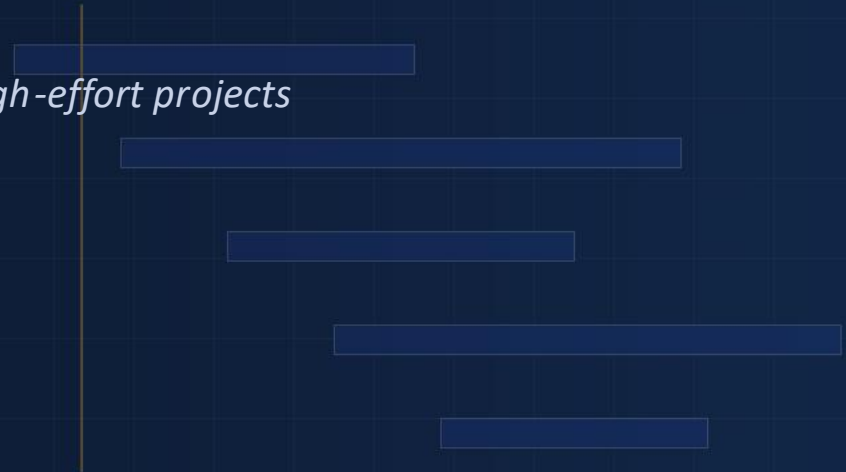
MANAGEMENT INSIGHT Pricing and branding deliver fast wins; channel and innovation initiatives compound over 24 months. • Sequencing quick wins first funds the higher-effort, higher-payoff R&D and export initiatives.



SECTION 5

Implementation

A phased 24-month roadmap sequences quick wins ahead of complex, high-effort projects



Impact vs. Effort: Sequencing the Turnaround

High Impact / Low Effort

DO FIRST

- Pricing realignment (1A)
- Brand & warranty (1B)
- Drop legacy loss-making SKUs

High Impact / High Effort

PLAN & FUND

- Cordless R&D (3A)
- Multi-channel build (2A)

Low Impact / Low Effort

EASY WINS

- Legacy SKU drops
- Label & packaging updates

Low Impact / High Effort

DEPRIORITIZE

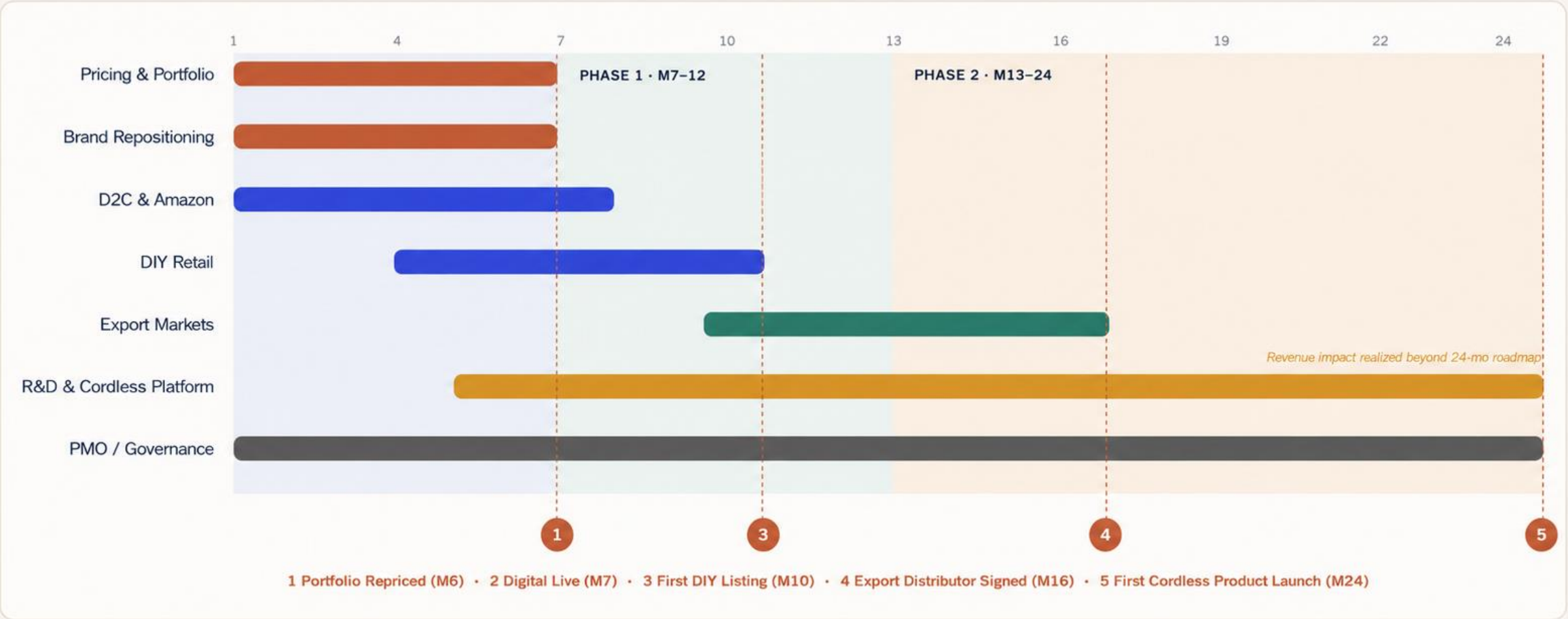
- Broad diversification beyond core categories

MANAGEMENT INSIGHT R&D.

Balancing quick profitability gains with long-term strategic growth is essential.

- *Execute quick wins immediately to fund complex, high-effort projects like R&D.*

Three phases, seven workstreams, five milestones —
executed in parallel, not sequence.



MANAGEMENT INSIGHT

Parallel execution tracks are required to hit turnaround targets without delay.

BUSINESS IMPLICATION

Dependencies (funding before R&D, website before Amazon, prototype before launch) dictate strict project scheduling.

Building the Capabilities Needed to Deliver the 24-Month Transformation

CRITICAL HIRING & CAPABILITY REQUIREMENTS

CAPABILITY	TIMING	PURPOSE
Senior Pricing Analyst	PHASE NOW	Execute pricing transformation & DM500W exit
Digital Marketing & E-commerce Manager	PHASE 1	Launch D2C, Amazon & digital campaigns
Battery / Electronics R&D Engineer	PHASE 2	Develop cordless product platform
Product Development Engineer	PHASE 2	Lead prototype testing & product launch

Existing Sales and Operations teams support execution through cross-functional workstreams.

MANAGEMENT INSIGHT

Build commercial and product capabilities now to deliver measurable results.

SUCCESS METRICS (KPIs)

KPI	TARGET
Revenue Growth	+€4–7M within 24 months
Gross Margin	+3–5 percentage points
Customer Concentration	Reduce largest customer share from 55% to <20%
Digital Channel Presence	Launch D2C website and marketplace channels
Product Innovation	Launch first cordless product by Year 3 Q1
Portfolio Profitability	Eliminate negative-margin SKU

BUSINESS IMPLICATION

Investing in the right talent at the right time enables portfolio repositioning, channel expansion, and innovation—driving sustainable margin and growth.



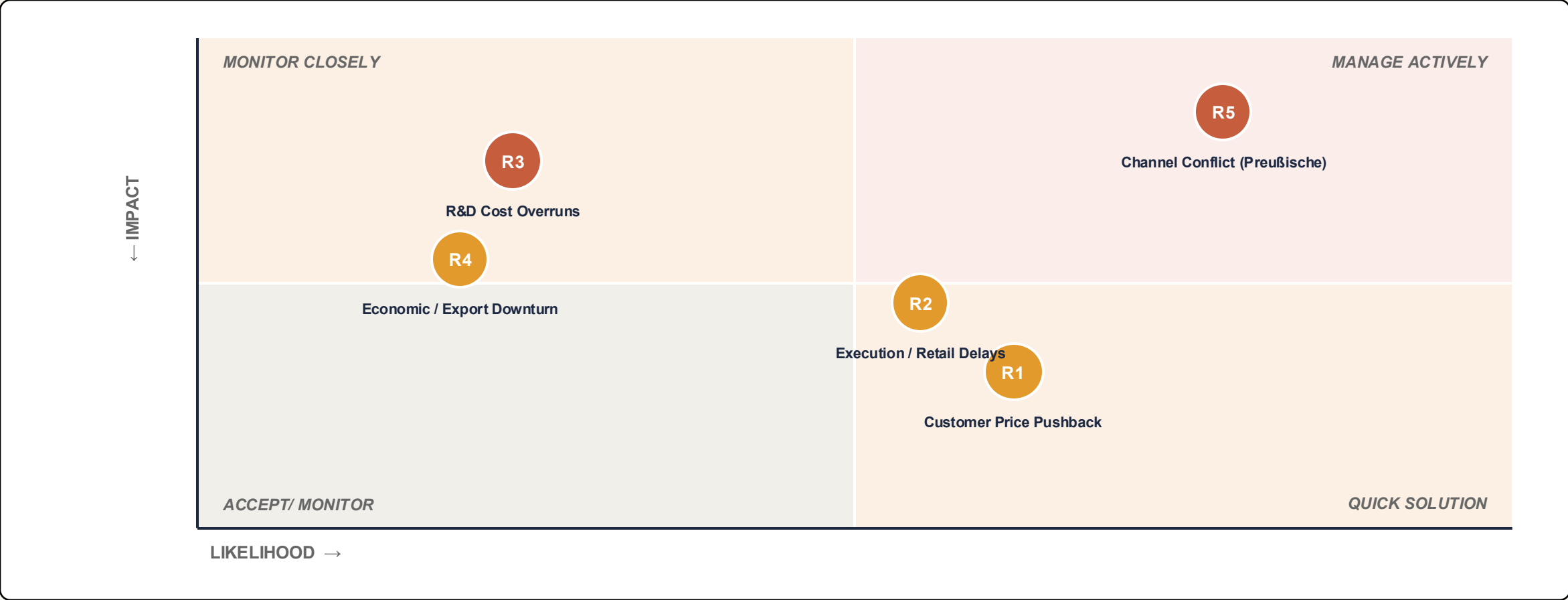
SECTION 6

Risk Management

Execution delays are the most acute threat; proactive mitigation protects the base case



Execution delays — not market conditions — pose the greatest threat to this plan.



MANAGEMENT INSIGHT

Project slippage and channel-conflict risks represent the most acute threats to the turnaround plan.

BUSINESS IMPLICATION

Must-manage risks require dedicated contingency planning and early warning systems.

Every material risk on this plan already has a named owner and a mitigation in motion.

RISK	MITIGATION	OWNER
Customer price pushback	Phased 8–15% increase, paired with limited-time promotions	Sales Lead
Execution & retail listing delays	Incremental, phased channel rollout (D2C → Amazon → retail)	Channel Mgr.
R&D cost / timeline overruns	Stage-gate go / no-go development reviews	CTO
Export market / economic uncertainty	Distributor-first model, then direct entry	Int'l Mgr.
Channel conflict — Preußische Elektro	Channel-specific products, phased rollout & legal review	CEO / BD

MANAGEMENT INSIGHT

Proactive contingency measures protect base-case financial projections.

BUSINESS IMPLICATION

Workstream owners are strictly accountable for monitoring their respective risk triggers.



SECTION 7

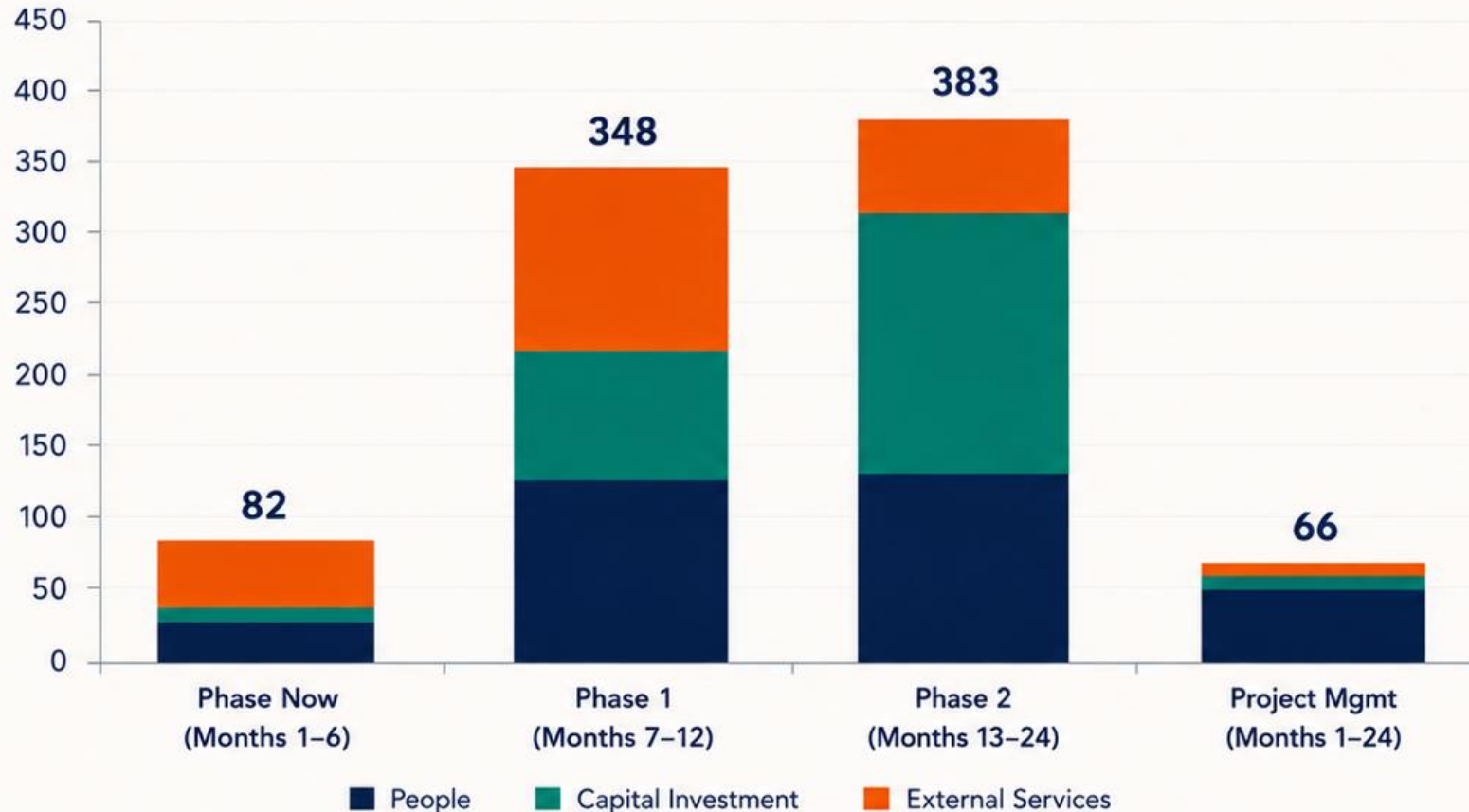
Financial Plan

EUR 879K invested over 24 months, weighted toward digital channels and R&D



€879K phased investment funds pricing, channel expansion and cordless product development.

BUDGET COMPOSITION BY PHASE (€K)



€334K

PEOPLE (38% OF BUDGET)



€305K

CAPITAL INVESTMENT
(35% OF BUDGET)



€240K

EXTERNAL SERVICES
(27% OF BUDGET)



€879K

TOTAL 24-MONTH BUDGET



FINANCIAL RETURNS

Payback Period: ~9 months
ROI (24-month): ~340%

**Excludes 3A/3B (Year 3-4 payoff, outside this roadmap). Assumes 25% margin on channel revenue.*

24-Month Budget Plan Supporting the Turnaround Roadmap

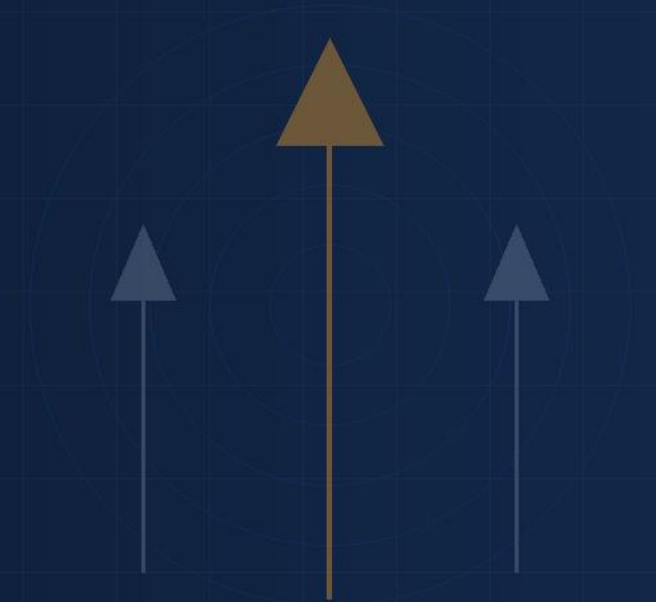
WBS	Phase / Work Package	Personnel (€)	Investment (€)	Contracted Svcs (€)	Phase Total (k€)
PHASE NOW — Fix Revenue Model (Months 1–6)					
1.1	Pricing Audit	5,250	2,250	24,000	30.5
1.2	Repricing Plan & 500W Discontinuation	6,175	2,500	13,825	21.5
1.3	Reduce Preußische Elektro Concentration	10,600	3,600	13,800	28.0
	PHASE NOW Subtotal ♦ Milestone M1: Range Repriced	22,025	8,350	51,625	82
PHASE 1 — Modernize Distribution (Months 7–12)					
2.1	D2C Webshop + E-Commerce Platforms	15,750	48,000	15,750	79.5
2.2	DIY Megastore Listing (OBI / Hornbach)	9,500	25,000	12,500	47.0
2.3	Export Markets — AT / CH / NL	85,500	4,500	23,500	113.5
3.1	Brand Repositioning	15,750	20,000	72,250	108.0
	PHASE 1 Subtotal ♦ Milestones M2 / M3 / M4	126,500	97,500	124,000	348
PHASE 2 — Grow & Future-Proof (Months 13–24)					
3.2	R&D Team Setup ⚠	111,500	26,500	10,800	148.8
3.3	Cordless Li-ion Range Development & Launch	15,050	170,000	49,450	234.5
	PHASE 2 Subtotal ♦ Milestone M5: Li-ion Launch	126,550	196,500	60,250	383
PROJECT MANAGEMENT — Cross-cutting (Months 1–24)					
PM	Planning · Controlling · Reporting · Coordination	59,200	2,400	4,000	65.6
	PM Subtotal	59,200	2,400	4,000	66
▶ PROJECT TOTAL — 24-Month Turnaround		334,275	304,750	239,875	879



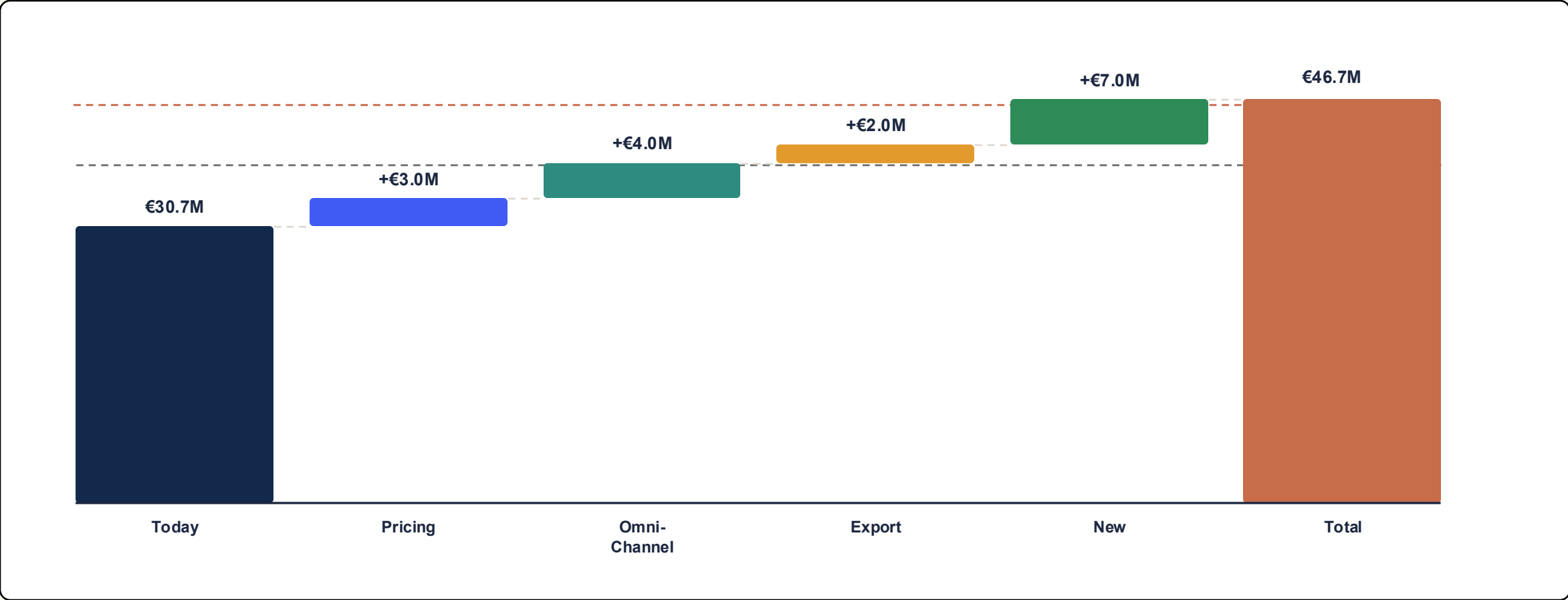
SECTION 8

Expected Impact

Four independent growth drivers combine to offset decline and unlock €46.7M in upside



Four independent growth levers turn market decline into double-digit recovery.



MANAGEMENT INSIGHT

The cumulative effect of independent strategic drivers generates a robust top-line recovery.

BUSINESS IMPLICATION

Executing the plan offsets market decline and successfully captures highly profitable new revenue streams.

Strategic Priorities & The Path Forward

Strict execution of three pillars transforms CERMEDES into a premium, growth-oriented brand.



01

Capture Value

Realign pricing and brand positioning to close the value gap.



+EUR3.0M IMPACT



02

Expand Reach

Build omni-channel and export presence to serve the unserved 52%.



+EUR6-10M IMPACT



03

Build the Future

Launch cordless R&D and broaden the portfolio for long-term relevance.



+EUR7-12M IMPACT



THE ASK

Approve the EUR879K budget to establish the PMO and begin Phase Now immediately.



MANAGEMENT INSIGHT

Parallel execution across all three pillars is the only way to hit turnaround targets without delay.



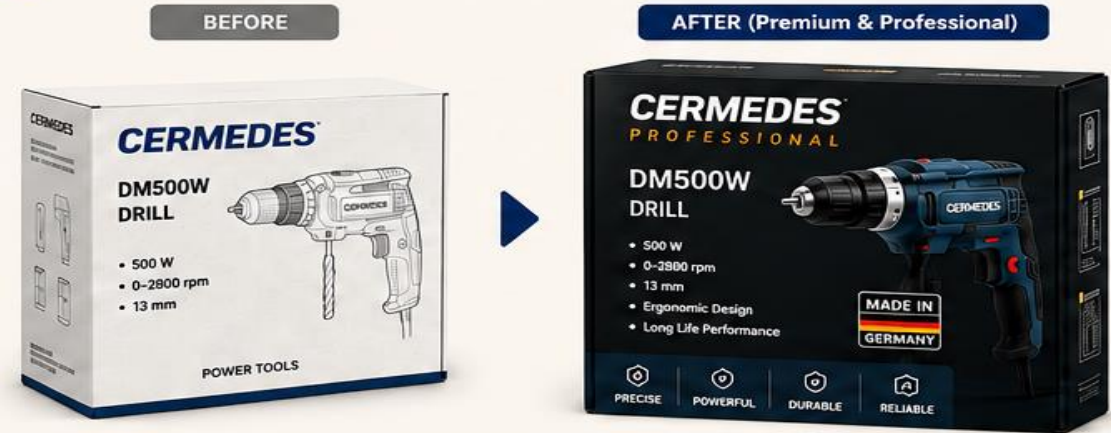
BUSINESS IMPLICATION

Securing the PMO and funding now ensures discipline, speed, and accountability from day one.

IMPLEMENTATION CONCEPTS (VISUAL EXHIBITS)

Conceptual mockups to illustrate key strategic recommendations

1 PREMIUM BRAND REPOSITIONING – PACKAGING CONCEPT



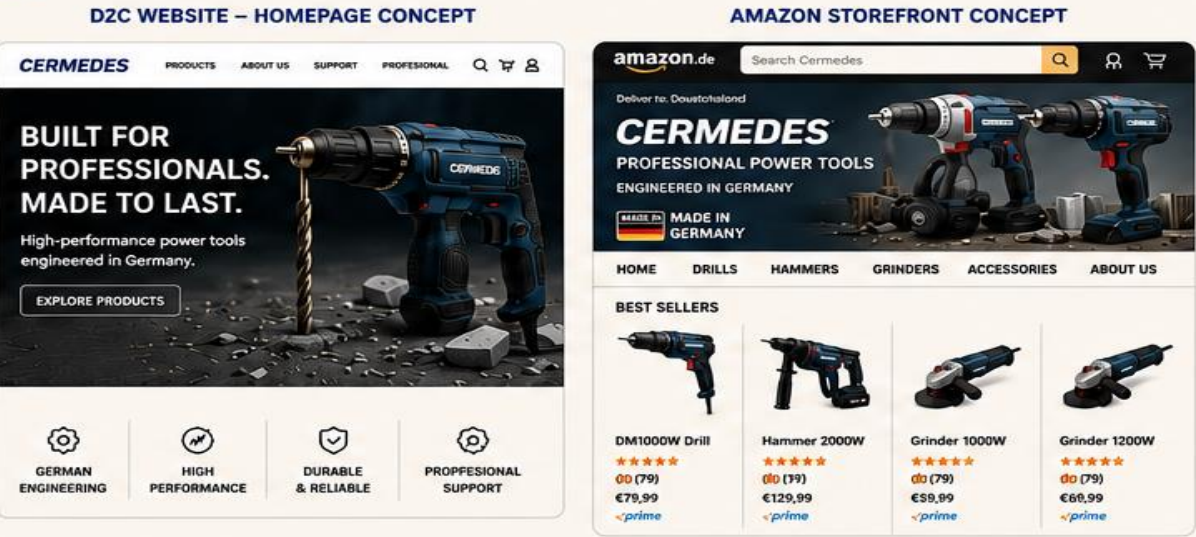
Key Elements:

- Premium colors & finishes
- Made in Germany quality badge
- Clear value proposition
- Professional imagery

3 CORDLESS PRODUCT STRATEGY – CONCEPT



2 DIGITAL PRESENCE – D2C WEBSITE & AMAZON STOREFRONT



4 INTERNATIONAL EXPANSION – EUROPE FOCUS

